

Subject Description Form

Subject Code	AF5381
Subject Title	Financial Markets
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	none
Role and Purposes	This course introduces students to the foundation knowledge and techniques in the financial markets – the students can understand the natures of businesses and their relationships with various financial and capital markets. This subject contributes towards the achievement of the Master programme objectives, in particular (i) apply conceptual frameworks drawn from economics and quantitative method to the analysis of financial market issues, (ii) to apply the up-to-date corporate finance principles and see their impact on corporate policies and strategies and (iii) formulate financial strategies and envision their outcomes.
Subject Learning Outcomes	Upon successful completion of this course, students should be able to: a. Understand the natures of businesses and corporations b. Understand the role of financial markets and their roles in corporate finance c. Understand different financial market instruments, and the nature of investment d. Apply some methods and tools to analyze some cases in financial markets.
Subject Synopsis/ Indicative Syllabus	Nature of Business and Corporation Corporate finance and the financial manager; goals of corporate management; value of the firm expressed as contingency claims. Valuation and Capital Budgeting Evaluation of capital investment decisions using the net present value rule; alternative rules for capital budgeting; Risk and return. Nature of Investment Typical investment instruments; investment process; risk free assets; market indexes and

	benchmarks; short sales; primary and secondary markets for equities and bonds; investment companies; FinTech. Information Role in Financial Markets Theory and empirical evidence in favour of and against market efficiency; limits to arbitrage; behavioural finance; implication of the debate for investors. Efficient market hypothesis and the financial market turmoil of 2007-09. Fundamentals of Financial Products Valuations Valuation concepts for various financial products in the market, such as equity, bond, derivatives, and others.																																																												
Teaching/Learning Methodology	The theoretical aspects of this course will be covered in the class through lectures. This allows direct contact and discussion between lecturer and students. Students learn about FinTech and data science through reading assignments, guest lectures, and hands-on practices. Assignments, newspaper articles, and case studies will be used to illustrate the application of the ideas, and to encourage independent learning skills. By completing the project, students should have hands-on experience in using the knowledge they have learned in class to conduct a financial analysis in practice. Students are encouraged to share their views and experiences actively with their lectures and classmates.																																																												
Assessment Methods in Alignment with Intended Learning Outcomes	<table border="1"> <thead> <tr> <th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr> <tr> <th>a</th><th>b</th><th>c</th><th>d</th><th></th><th></th></tr> </thead> <tbody> <tr> <td>1. Class Participation</td><td>5%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr> <tr> <td>2. Project & Assignment</td><td>25%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr> <tr> <td>3. Midterm</td><td>20%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr> <tr> <td>4. Final examination</td><td>50%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr> <tr> <td>Total</td><td>100 %</td><td colspan="6"></td></tr> </tbody> </table> <i>Note: To pass this subject, students are required to obtain Grade D or above in BOTH the Continuous Assessment and Examination components. In addition, the specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i>							Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d			1. Class Participation	5%	√	√	√	√			2. Project & Assignment	25%	√	√	√	√			3. Midterm	20%	√	√	√	√			4. Final examination	50%	√	√	√	√			Total	100 %						
Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)																																																											
		a	b	c	d																																																								
1. Class Participation	5%	√	√	√	√																																																								
2. Project & Assignment	25%	√	√	√	√																																																								
3. Midterm	20%	√	√	√	√																																																								
4. Final examination	50%	√	√	√	√																																																								
Total	100 %																																																												
Student Study Effort Expected	Class contact:																																																												
	Lectures / Seminars						39 Hrs.																																																						
	Other student study effort:																																																												

	▪ Reading materials / textbook questions	39 Hrs.
	▪ On average around 16 hours will be spent on the individual critique and around 20 hours for the group project discussion, presentation and written report	36 Hrs.
	Total student study effort	114 Hrs.
Reading List and References	<i>References</i> <i>Financial Markets and Institutions</i>, 10th Edition, 2012 by J. Madura, Cengage Learning. <i>Investment Valuation</i>, 3rd Edition, 2012 University Edition, by Damodaran, A., John Wiley & Sons. <i>Fundamentals of Corporate Finance</i>, 12th Edition, 2019 by S. Ross, R. Westerfield and B. Jordan. McGraw Hill.	